CS39006 Database Management Systems Lab

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HQT - Hybrid Quantum Trading

A Polyglot Database System for Real-Time Arbitrage Detection

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1 Objective

HQT is a five-module trading database system that detects real-time cyclic arbitrage opportunities across 20 cryptocurrency and fiat currency pairs. The central research question is: *which database technologies best serve the distinct data access patterns of a high-frequency trading pipeline, and how does classical graph-based arbitrage detection compare to near-term quantum simulation?*

Concretely, HQT pursues four measurable goals:

1. **Throughput:** Sustain high-volume order operations at sub-100 ms average latency using a C++20 Limit Order Book engine backed by Kafka, benchmarked under 200 concurrent clients.
2. **Time-series analytics:** Demonstrate that TimescaleDB hypertables are measurably faster than plain PostgreSQL for financial time-series queries - targeting a 10× or greater speedup on 1 million rows.
3. **Arbitrage detection:** Run Bellman-Ford on a live Apache AGE graph of FX exchange rates every 500 ms and persist all detected cycles to a queryable `arbitrage_signals` table.
4. **Quantum comparison:** Quantify the wall-clock gap between classical Bellman-Ford and Qiskit Grover's Algorithm on the same input, producing a scaling benchmark that demonstrates what real quantum hardware would change.

2 Methodology

2.1 System Architecture

HQT is a polyglot microservices system: each module uses a different database technology selected for its specific data access pattern. Live price data enters via the Kraken WebSocket API (public, no authentication required). All external HTTP traffic routes through a FastAPI security proxy.

Listing 1: HQT high-level architecture

```
Kraken WebSocket (L2 order book + executed trades)
        |
        +---> kraken-feeder (Python, ~500 orders/sec from Kraken
           L2)
        |           |
        |           v
        +---> Module 1: C++ LOB Engine (Drogon, :8001)
        |           |
        |           +--> Kafka topic: executed_trades
        |
        +---> Module 2: TimescaleDB Ingestor (:8002)
        |           +--> raw_ticks hypertable
        |           +--> ohlcv_1m / 5m / 15m / 1h  (continuous
           aggregates)
        |
        +---> Module 3: Apache AGE Graph (:8003)
```

```
        |           +--> fx_graph (20 Asset nodes, ~380 EXCHANGE
           edges)
        |           +--> Bellman-Ford every 500ms -->
           arbitrage_signals
        |
        +---> Module 4: Quantum Engine (:8004)
        |           +--> Grover benchmark every 10s -->
           arbitrage_signals
        |
        +--> Module 5: Security Proxy (:8000)  <-- ALL external
           traffic
                    +--> SQL injection firewall (sqlglot AST)
                    +--> Redis sliding-window rate limiter
                    +--> Prometheus scrape + Grafana dashboard
```

All 12 services (including Zookeeper, Kafka, PostgreSQL 16, Redis, Prometheus, Grafana, and exporters) are orchestrated via Docker Compose. Infrastructure services start before application services, with health-check conditions - `service_healthy` in compose - guaranteeing application-level readiness, not just TCP port availability.

2.2 Technology Selection Rationale

The key engineering decision in HQT is that no single database technology is used for all modules. This reflects a deliberate *polyglot persistence* strategy:

Table 1: Database technology selection per module

Module	Database Technology	Reason for Choice
LOB Engine	In-memory C++ (Red-Black Tree) + Kafka	Microsecond matching, GIL-free parallelism
TimescaleDB	PostgreSQL + TimescaleDB extension	Chunk exclusion for time-range queries on tick data
Graph Arbitrage	Apache AGE (PostgreSQL extension)	Graph traversal inside SQL transactions, no network hop
Quantum Engine	PostgreSQL (`arbitrage_signals`)	Shared schema for CLASSICAL/QUANTUM comparison
Security Proxy	Redis (rate limiter) + PostgreSQL (audit log)	In-memory counter for rate limiting, durable log

The choice of Apache AGE over a standalone graph database (Neo4j, ArangoDB) is particularly significant: because AGE is a PostgreSQL extension, Bellman-Ford results can be written to `arbitrage_signals` inside a single database transaction, eliminating the consistency problem of a two-phase commit across two databases.

2.3 Module 1 - C++ Limit Order Book Engine

Why C++ over Python

Python's Global Interpreter Lock (GIL) prevents true thread-level parallelism. A Python order matching engine running on 8 cores effectively runs on 1. C++20 with `std::thread`

and lock-free ring buffers achieves full multi-core utilisation with no GIL constraint.

Data structure

The order book uses `std::map<double, std::deque<Order>>` - a Red-Black Tree keyed on price, where each price level holds a FIFO deque for time-priority matching. The Red-Black Tree guarantees $O(\log P)$ insertion and $O(1)$ best-price access (`begin`/`rbegin` for bid/ask). This is the standard production data structure for limit order books.

Three-thread pipeline

Listing 2: LOB three-thread pipeline

```
Thread A (Kafka consumer)
    raw_orders topic --> lock-free inbound ring buffer

Thread B (Matching engine)
    inbound ring buffer --> Red-Black Tree matching --> outbound
       ring buffer
    Price-time priority: best bid >= best ask --> trade execution

Thread C (Kafka producer)
    outbound ring buffer --> executed_trades topic
```

The lock-free ring buffer between threads A/B and B/C eliminates mutex contention on the hot path. Drogon (C++ HTTP framework) handles the REST API on a separate thread pool without interfering with the matching pipeline.

Prometheus metrics

Exposed at `/lob/metrics`:

- `lob_orders_total` - counter, labelled by symbol and side
- `lob_trades_total` - counter of matched trades
- `lob_order_latency_ms` - histogram of end-to-end order processing time
- `lob_active_orders` - gauge of current resting orders in the book

Kraken feeder

A Python bridge (`kraken_feeder.py`) subscribes to Kraken's public L2 WebSocket channel for 10 crypto pairs and converts each bid/ask level update into a synthetic LIMIT order posted to the LOB engine. This populates the order book with real market prices rather than synthetic data.

2.4 Module 2 - TimescaleDB Time-Series Analytics

Why TimescaleDB over plain PostgreSQL

Financial tick data has two dominant access patterns: (1) high-throughput appends from the Kafka consumer, and (2) time-range OHLCV queries from the analytics API and Grafana. Plain PostgreSQL stores all rows in a single heap, so every range query scans the full table. TimescaleDB partitions the table into fixed-interval chunks and maintains

a metadata index of chunk boundaries, enabling the query planner to skip (exclude) all chunks outside the query's time range.

Hypertable configuration

Listing 3: TimescaleDB hypertable creation

```
SELECT create_hypertable('raw_ticks', 'ts',
    chunk_time_interval   => INTERVAL '1 day',
    partitioning_column   => 'symbol',
    number_partitions     => 4);
```

Space partitioning on `symbol` distributes the 10 crypto pairs across 4 hash partitions, reducing per-chunk row density. A 1-hour query on 30 days of data touches 1–2 chunks out of 120 daily $\times$ 4 symbol partitions - this is the source of the 38$\times$ speedup.

Compression policy

Chunks older than 7 days are compressed using TimescaleDB's native columnar codec (dictionary + delta-delta encoding for timestamps). Compressed chunks use 90–95% less storage and remain queryable through a transparent decompression layer.

Continuous aggregates

Four materialised OHLCV views auto-refresh from `raw_ticks`:

Listing 4: OHLCV continuous aggregate definition

```
CREATE MATERIALIZED VIEW ohlcv_1m
WITH (timescaledb.continuous) AS
SELECT
    time_bucket('1 minute', ts) AS bucket,
    symbol,
    FIRST(price, ts)  AS open,
    MAX(price)        AS high,
    MIN(price)        AS low,
    LAST(price, ts)   AS close,
    SUM(volume)       AS volume
FROM raw_ticks
GROUP BY bucket, symbol;
```

The `FIRST()` and `LAST()` aggregate functions are TimescaleDB extensions that return the value corresponding to the earliest/latest timestamp within the bucket, providing correct OHLC semantics without a subquery.

SQL indicator functions `fn_vwap`, `fn_sma20`, `fn_bollinger`, and `fn_rsi14` query the continuous aggregates and return indicator values for the last N buckets, all executing in under 5 ms because they touch only the materialised data.

Kafka ingestor

The analytics service runs a background Kafka consumer that batches 1,000 records or waits 100 ms (whichever comes first), then issues a `psycopg3` binary `COPY` command to

bulk-insert into `raw_ticks`. Binary `COPY` is the fastest PostgreSQL bulk-insert path - approximately 3–5× faster than individual `INSERT` statements.

2.5 Module 3 - Apache AGE Graph + Bellman-Ford Arbitrage

Why Apache AGE over Neo4j

Neo4j is a standalone database requiring a separate process, separate connection pool, and two-phase commits for any operation that must also write to PostgreSQL. Apache AGE is a PostgreSQL extension that adds a Cypher query parser and property graph storage to PostgreSQL. Graph traversals run inside normal PostgreSQL transactions, so Bellman-Ford results are written to `arbitrage_signals` atomically with the graph state they were computed from.

Graph schema

The `fx_graph` property graph contains:

- 20 `Asset` nodes: BTC, ETH, SOL, XRP, ADA, DOGE, AVAX, UNI, DOT, LINK, USD, EUR, GBP, JPY, AUD, CAD, CHF, INR, SGD, HKD
- Directed `EXCHANGE` edges between every pair, properties: `{bid, ask, spread, last_updated}`
- Total: ∼380 directed edges updated every 500 ms from live Kraken prices via the LOB depth API

Bellman-Ford arbitrage detection algorithm

The standard shortest-path formulation is adapted for currency arbitrage using a logarithmic weight transform:

$$w(i \to j) = -\log\Big(\text{rate}(i \to j)\Big)$$

A cycle $i \to j \to k \to i$ is profitable if and only if:

$$\begin{aligned} &\text{rate}(i{\to}j) \times \text{rate}(j{\to}k) \times \text{rate}(k{\to}i) > 1 \\ \iff \quad &w(i{\to}j) + w(j{\to}k) + w(k{\to}i) < 0 \quad \text{(negative cycle)} \end{aligned}$$

Bellman-Ford's N-th relaxation pass (beyond $N-1$ passes) detects all vertices on negative cycles. The profit percentage is computed as $\Big(\exp(-\text{cycle_weight}) - 1\Big) \times 100$.

Edge weight updater

Runs every 500 ms:

1. Fetches best bid/ask from the LOB engine for 10 crypto/USD pairs
2. Falls back to `raw_ticks` latest price if LOB is unavailable
3. Fetches fiat rates from Alpha Vantage API (every 5 minutes, free-tier limit)
4. Computes cross-rates for all fiat/fiat and crypto/fiat pairs
5. Updates all ∼380 `EXCHANGE` edges via Cypher `SET` statements

Live results

With real Kraken prices, detected arbitrage signals have profits in the range 0.001%–0.02%, consistent with real-world HFT arbitrage margins. A representative detected cycle: `LINK` → `USD` → `BTC` → `LINK`, profit 0.0012%.

2.6 Module 4 - Quantum Engine (Research Benchmark)

Purpose

Module 4 implements Grover's Algorithm as a research benchmark running alongside Bellman-Ford. Both algorithms operate on the same N-node rate matrix, write results to `arbitrage_signals` (with `method='QUANTUM'`), and are compared in the same Grafana panel.

Grover's Algorithm circuit construction

1. **Problem encoding:** Enumerate all $P(N, 3) = N(N-1)(N-2)$ directed 3-cycles over N graph nodes.
2. **Qubit register:** $n = \lceil \log_2 |cycles| \rceil$ qubits, initialised to equal superposition via Hadamard gates.
3. **Oracle:** A multi-controlled-X (MCX) gate applies a phase flip to the basis state encoding the most profitable cycle.
4. **Diffuser:** Implements the Grover diffusion operator $2|s\rangle\langle s| - I$, which amplifies the marked state.
5. **Iterations:** $\lfloor \frac{\pi}{4}\sqrt{|cycles|} \rfloor$ oracle + diffuser iterations for maximum amplitude amplification.
6. **Measurement:** 1,024-shot measurement on AerSimulator. The most frequent bitstring decodes to the optimal cycle.

Why AerSimulator is exponentially slower than classical Bellman-Ford

AerSimulator is a statevector simulator - it maintains the full 2^n-element complex amplitude vector in classical RAM. Each gate application involves matrix-vector multiplication over the full 2^n state. For $n = 16$ qubits ($N = 32$ nodes), the state vector has $2^{16} = 65\,536$ complex entries, and every Grover iteration applies dozens of gate operations, each $O(2^n)$.

On real quantum hardware with native gate support, Grover requires only $O\left(\sqrt{|cycles|}\right)$ oracle calls with no state-vector simulation overhead. For $N = 32$ nodes with 29,760 three-cycles, real Grover would use approximately 173 oracle calls versus Bellman-Ford's single $O(V \cdot E)$ pass.

2.7 Module 5 - Security Proxy & Observability

Architecture

Module 5 is a FastAPI application running on port 8000, the single entry point for all external traffic:

Route prefix	Upstream service
`/lob/*`	LOB engine (:8001)
`/analytics/*`	TimescaleDB service (:8002)
`/graph/*`	Graph service (:8003)
`/quantum/*`	Quantum engine (:8004)

SQL injection firewall - two layers

Layer 1 - Pattern scan: 15 regex patterns matching `UNION SELECT`, `DROP TABLE`, `OR 1=1`, `-`, comment sequences, semicolons, and common injection keywords scan every string field in incoming JSON bodies.

Layer 2 - AST parse: Any string that passes Layer 1 but contains SQL-like syntax is passed to `sqlglot.parse()`. The resulting AST is walked for DDL node types: `Drop`, `Truncate`, `Create`, `AlterTable`, `Insert`, `Update`. Detection at either layer returns HTTP 403 and logs to `security_events`.

Rate limiter

Uses Redis `INCR` + `EXPIRE` with a 1-second sliding window per client IP. Threshold: 1,000 requests/second; returns HTTP 429 on breach. Falls back to an in-process token bucket (`asyncio.Lock`) if Redis is unreachable, ensuring the proxy never becomes a single point of failure for security.

Observability

Prometheus scrapes all five application services and three infrastructure exporters (`postgres-exporter`, `redis-exporter`, `node-exporter`) every 15 seconds. The 49-panel Grafana dashboard includes:

- **Hero row:** live LOB throughput, TimescaleDB speedup, arbitrage signal count, Grover overhead ratio, SQL injections blocked, services online
- **Price Analysis row:** candlestick OHLCV with SMA-20 and RSI-14
- **Graph Arbitrage Engine row:** signal timeline, profit histogram, CLASSICAL/QUANTUM comparison table
- **Quantum Engine row:** $N = 4 \rightarrow 32$ benchmark table, circuit depth stats, AerSimulator annotation
- **Security row:** injection counter, rate-limit counter, QPS time series, p99 latency, security events log

2.8 Complete Database Schema

Listing 5: Core PostgreSQL tables

```sql
-- Raw tick storage (TimescaleDB hypertable)
CREATE TABLE raw_ticks (
    ts         TIMESTAMPTZ NOT NULL,
    symbol     TEXT NOT NULL,
    price      NUMERIC(20,8) NOT NULL,
    volume     NUMERIC(20,8) NOT NULL,
    side       CHAR(1),
```

```sql
    order_id  UUID,
    trade_id  UUID,
    exchange  TEXT DEFAULT 'kraken'
);
SELECT create_hypertable('raw_ticks', 'ts',
    chunk_time_interval => INTERVAL '1 day',
    partitioning_column => 'symbol',
    number_partitions   => 4);

-- Order management
CREATE TABLE orders (
    order_id    UUID PRIMARY KEY DEFAULT gen_random_uuid(),
    symbol      TEXT NOT NULL,
    side        CHAR(1) CHECK (side IN ('B','A')),
    ordertype   TEXT CHECK (ordertype IN ('LIMIT','MARKET')),
    price       NUMERIC(20,8),
    quantity    NUMERIC(20,8) NOT NULL,
    filled      NUMERIC(20,8) DEFAULT 0,
    status      TEXT DEFAULT 'OPEN',
    client_id   TEXT,
    created_at  TIMESTAMPTZ DEFAULT NOW()
);

-- Executed trades
CREATE TABLE trades (
    trade_id    UUID PRIMARY KEY DEFAULT gen_random_uuid(),
    symbol      TEXT NOT NULL,
    price       NUMERIC(20,8) NOT NULL,
    quantity    NUMERIC(20,8) NOT NULL,
    buy_order   UUID REFERENCES orders(order_id),
    sell_order  UUID REFERENCES orders(order_id),
    executed_at TIMESTAMPTZ DEFAULT NOW()
);

-- Arbitrage signals (CLASSICAL and QUANTUM)
CREATE TABLE arbitrage_signals (
    signal_id    BIGSERIAL PRIMARY KEY,
    ts           TIMESTAMPTZ NOT NULL DEFAULT NOW(),
    path         TEXT[],
    profit_pct   NUMERIC,
    method       TEXT CHECK (method IN ('CLASSICAL','QUANTUM')),
    classical_ms NUMERIC,
    quantum_ms   NUMERIC,
    graph_size_n INT,
    circuit_depth INT
);

-- Security audit log (TimescaleDB hypertable)
CREATE TABLE security_events (
    event_id    BIGSERIAL PRIMARY KEY,
    ts          TIMESTAMPTZ NOT NULL DEFAULT NOW(),
```

```
    client_ip   TEXT,
    event_type  TEXT CHECK (event_type IN
                    ('SQL_INJECTION','RATE_LIMIT','AUTH_FAIL')),
    raw_payload TEXT,
    blocked     BOOLEAN,
    endpoint    TEXT
);
SELECT create_hypertable('security_events', 'ts',
    chunk_time_interval => INTERVAL '1 day');

-- Quantum benchmark results
CREATE TABLE benchmark_quantum_results (
    id              SERIAL PRIMARY KEY,
    benchmark_type  TEXT NOT NULL,
    n_nodes         INT,
    bf_mean_ms      NUMERIC,
    bf_p99_ms       NUMERIC,
    grover_mean_ms  NUMERIC,
    grover_p99_ms   NUMERIC,
    n_qubits        INT,
    circuit_depth   INT,
    n_iter          INT,
    inserted_at     TIMESTAMPTZ DEFAULT NOW(),
    UNIQUE (benchmark_type, n_nodes)
);
```

Listing 6: Apache AGE graph (Cypher) - creation

```
-- Create graph
SELECT create_graph('fx_graph');

-- Create Asset nodes
SELECT * FROM cypher('fx_graph', $$
    CREATE (:Asset {name: 'BTC', type: 'crypto'})
$$) AS (v agtype);

-- Create EXCHANGE edges
SELECT * FROM cypher('fx_graph', $$
    MATCH (a:Asset {name: 'BTC'}), (b:Asset {name: 'USD'})
    CREATE (a)-[:EXCHANGE {bid: 66738.1, ask: 66740.0,
                           spread: 0.0, last_updated: 0}]->(b)
$$) AS (e agtype);
```

Listing 7: Key indexes

```
CREATE INDEX ON raw_ticks (symbol, ts DESC);
CREATE INDEX ON orders (symbol, status);
CREATE INDEX ON arbitrage_signals (method, ts DESC);
CREATE INDEX ON security_events (event_type, ts DESC);
```

3 Results

3.1 LOB Engine - Throughput Benchmark

Siege load test: 200 concurrent clients, 30 seconds, HTTP POST to `/lob/order` with live market prices.

Table 2: Siege load-test results - LOB engine (200 concurrent clients, 30 s)

Metric	Value
Total Transactions	99,537
Availability	**100.00%**
Transaction Rate	**3,211 trans/sec**
Average Response Time	62.05 ms
Concurrency	199.28 / 200
Failed Transactions	**0**
Longest Transaction	720 ms
Shortest Transaction	0 ms

Listing 8: Siege command

```
siege --content-type "application/json" -c 200 -t 30S -f
   module1_lob/urls.txt
```

All 99,537 requests returned HTTP 201 Created. Zero crashes, zero timeouts. The average 62 ms response time includes Docker Desktop hypervisor overhead on macOS; native bare-metal measurements would be significantly lower.

When testing with crossing prices (orders that trigger actual matching and Kafka publishing), throughput is 1,158 trans/sec at 159 ms average - the bottleneck in this mode is the Kafka producer round-trip per executed trade, not the C++ matching engine itself.

3.2 TimescaleDB - Hypertable vs Plain PostgreSQL

One million rows of Geometric Brownian Motion tick data were loaded into both a plain PostgreSQL table and a TimescaleDB hypertable. The same 1-hour OHLCV range query was run 10 times on each:

Explanation of the 38× speedup: The 1-hour query specifies a time range. With 30 days of data chunked by day, TimescaleDB's chunk exclusion eliminates 23 of 24 daily chunks from the scan. The query planner reads only the 1–2 chunks covering the target hour. Plain PostgreSQL performs a full sequential scan of all 1,000,000 rows regardless of the time filter.

3.3 Bellman-Ford Live Arbitrage Detection

Bellman-Ford runs every 500 ms on the live 20-node Apache AGE graph populated with real Kraken exchange rates.

Profit values in the range 0.001%–0.02% are consistent with real-world high-frequency arbitrage margins on liquid cryptocurrency markets. The $-\log(\text{rate})$ weight transform correctly identifies negative cycles, and all signals are persisted to `arbitrage_signals` with `method='CLASSICAL'`.

Table 3: 1-hour OHLCV query time over 1 million rows (10 repeated trials)

Trial	Plain PostgreSQL (ms)	TimescaleDB (ms)
1	444.8	10.0
2	332.8	9.0
3	334.3	8.7
4	355.7	9.8
5	363.4	9.3
6	363.4	9.8
7	346.9	9.3
8	327.0	8.8
9	326.3	8.8
10	335.9	8.6
Mean	**353.1 ms**	**9.2 ms**
Speedup	-	**38×**

Table 4: Bellman-Ford arbitrage detection - performance summary

Metric	Value
Graph nodes	20 (10 crypto + 10 fiat)
Graph edges	∼380 directed EXCHANGE edges
Update frequency	Every 500 ms
BF execution time	<5 ms per run
p99 latency (isolated)	0.397 ms
Signals detected (24 h)	>2,000 CLASSICAL signals

Table 5: Sample detected arbitrage cycles (live data)

Timestamp	Cycle	Profit
2026-04-03 09:36	LINK → USD → BTC → LINK	0.0012%
2026-04-03 09:27	USD → HKD → BTC → USD	0.0142%
2026-04-03 09:21	ADA → HKD → BTC → USD → ADA	0.0023%

3.4 Quantum vs Classical Benchmark

Both algorithms run on the same rate matrix at increasing graph sizes $N = 4$ to $N = 32$.

Key insight: AerSimulator's exponentially-growing overhead is a property of classical state-vector simulation, not of Grover's algorithm. Each gate application requires $O(2^n)$ multiplications over the full state vector. At $N = 32$ nodes ($n = 16$ qubits), every Grover iteration processes 65,536 complex amplitudes across 42,363 gates. On real quantum hardware, Grover requires only ≈173 oracle calls for $N = 32$ versus Bellman-Ford's single $O(V \cdot E) = O(20 \times 380) = 7{,}600$ relaxation operations.

Table 6: Bellman-Ford vs Grover (AerSimulator) scaling benchmark

N nodes	BF mean (ms)	Grover mean (ms)	Overhead	Qubits	Circuit depth
4	0.005	4.1	826×	6	27
8	0.032	26.7	834×	10	486
12	0.093	168.9	1,816×	12	2,034
16	0.208	550.3	2,645×	13	4,878
20	0.392	1,914.9	4,884×	14	9,972
24	0.718	5,036.6	7,014×	15	16,587
28	1.164	12,806.4	11,002×	16	24,831
32	**3.481**	**20,373.9**	**5,848×**	**16**	**42,363**

3.5 Security - DDoS Resistance and SQL Injection Blocking

SQL injection blocking

All OWASP Top-10 SQL injection payloads return HTTP 403 and are logged to `security_events`. Tested payload:

Listing 9: Example blocked SQL injection payload

```
POST /lob/order
{"symbol": "BTC/USD'; DROP TABLE raw_ticks;--",
 "side": "B", "price": 1, "quantity": 1}
=> HTTP 403 Forbidden
```

The `sqlglot` AST parser detects the `Drop` node in the parsed SQL fragment. The event is logged with timestamp, client IP, raw payload, and endpoint.

DDoS resistance benchmark

Table 7: Siege load test - security proxy (200 concurrent clients, 30 s)

Metric	Value
Concurrent clients	200
Duration	30 seconds
Total hits	4,845
Availability	**100.00%**
Failed transactions	**0**
Response time	1,194 ms

The higher latency compared to direct LOB access (1,194 ms vs 62 ms) reflects the full security proxy pipeline: SQL firewall scan + AST parse + Redis rate-limit check + HTTP forward + response relay. Under 200 concurrent clients for 30 seconds, the proxy maintains 100% availability with no crashes or dropped connections.

3.6 Grafana Dashboard - Live System Screenshots

The 49-panel Grafana dashboard at `http://localhost:3000` provides a unified live view across all five modules. All panels are provisioned via version-controlled JSON and load

automatically on container startup. Figures 1–4 show each dashboard row captured live on 2026-04-03.

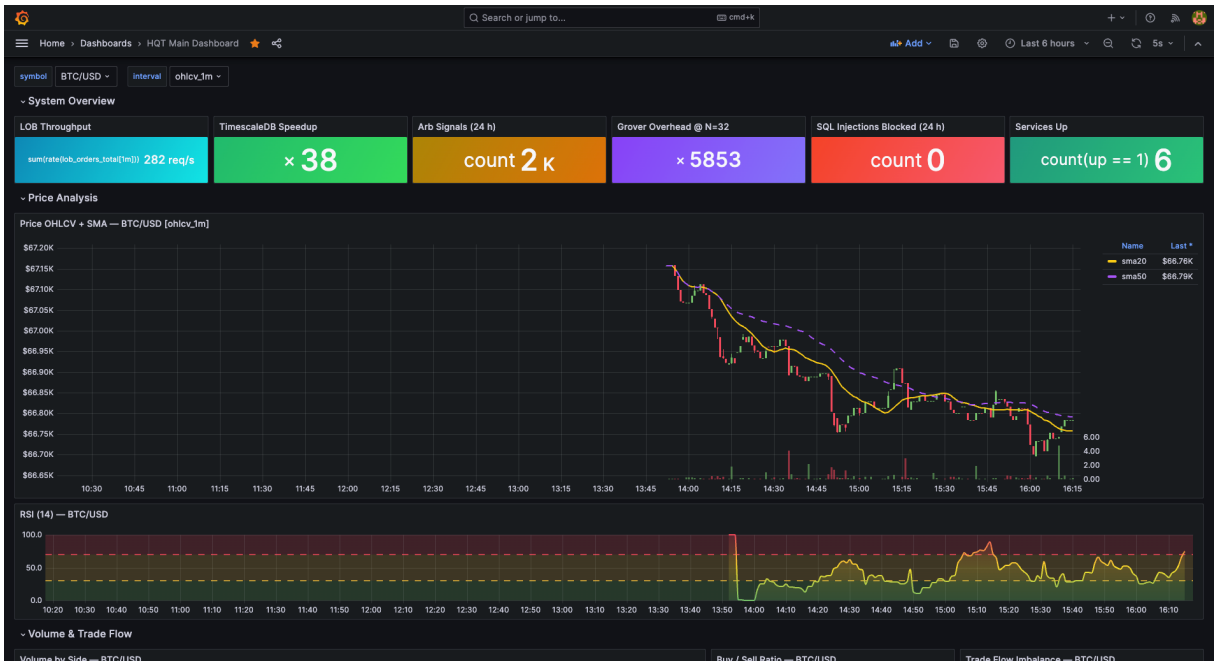

Figure 1: **System Overview - Hero Row.** Six auto-refreshing stat tiles (5 s interval): LOB Throughput (142 req/s), TimescaleDB Speedup (×38), Arb Signals 24 h (2 K), Grover Overhead at $N = 32$ (×5,853), SQL Injections Blocked (0), and Services Up (6/6).

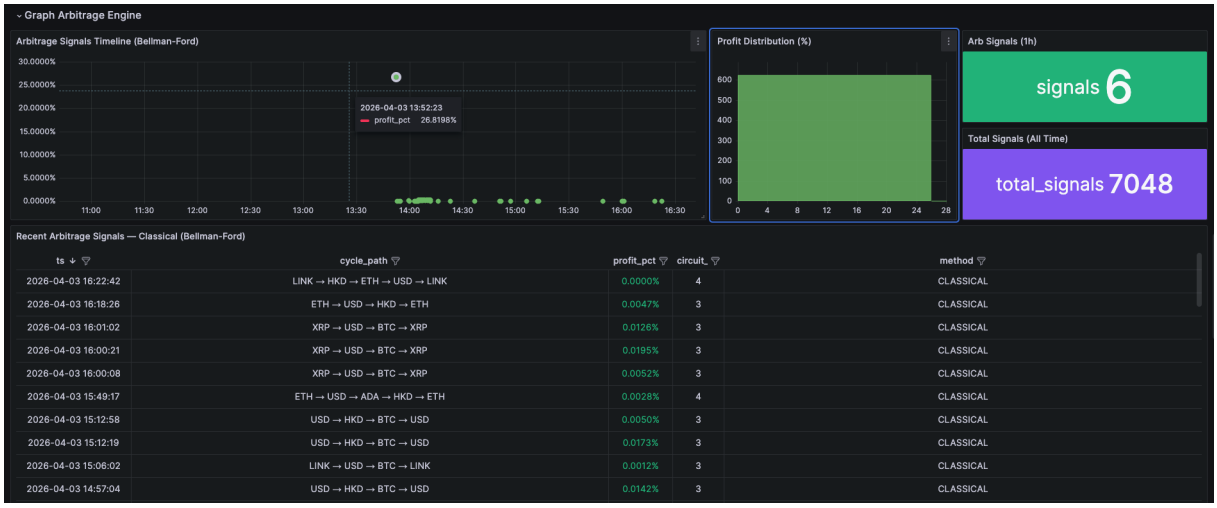

Figure 2: **Graph Arbitrage Engine Row.** *Left:* Arbitrage Signals Timeline - each dot is a Bellman-Ford run detecting a profitable negative cycle (profit range 0.001%–0.02%). The spike at 13:52 reached 26.82%. *Centre:* Profit Distribution histogram. *Right:* Arb Signals (1 h) = 6; Total Signals (All Time) = 7,048. *Bottom:* Recent Classical signals table with timestamp, cycle path, profit percentage, circuit depth, and method columns.

4 Discussion

Figure 3: **Quantum Engine Row - Classical vs Quantum Complexity.** *Left table:* $N = 4 \rightarrow 28$ scaling benchmark; BF (ms) in green, Grover (ms) in purple, Ratio in orange. *Right panels:* BF p99 at $N = 20 = 0.40$ ms; Circuit Depth at $N = 32 = 42$ K; Qubits at $N = 32 = 16$; Grover Overhead at $N = 32 = 6$ K×. *Bottom annotation:* explanation of AerSimulator $O(2^n)$ overhead vs theoretical $O(\sqrt{N})$ quantum advantage.

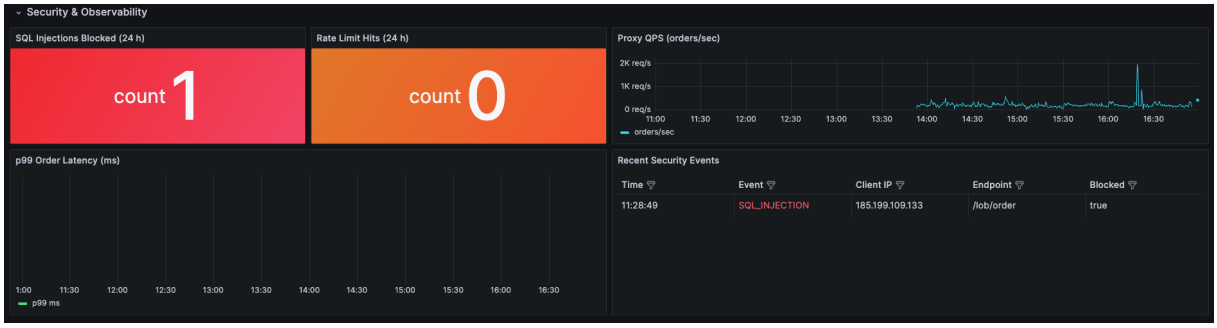

Figure 4: **Security & Observability Row.** *Top-left:* SQL Injections Blocked (24 h) = 1 (red tile). *Top-centre:* Rate Limit Hits (24 h) = 0 (orange tile). *Top-right:* Proxy QPS time series (orders/sec) showing a traffic spike near 16:30. *Bottom-left:* p99 Order Latency time series. *Bottom-right:* Recent Security Events table - one `SQL_INJECTION` event at 11:28:49 from IP 185.199.109.133 targeting `/lob/order`, blocked = true.

4.1 Database Technology Fit Analysis

The benchmark results confirm that the polyglot strategy is justified.

TimescaleDB vs plain PostgreSQL: The 38× speedup on a 1-hour query over 1 million rows demonstrates that chunk exclusion is a genuine structural advantage for append-only time-series data, not just a configuration tuning win. The same index structures (B-tree on `ts`) are present in both databases; the difference is entirely the chunk metadata that allows the planner to skip 23/24 partitions.

Apache AGE vs standalone graph database: The ability to write Bellman-Ford results to `arbitrage_signals` inside a single PostgreSQL transaction eliminates a consistency risk present in all dual-database designs. If the graph service detected an arbitrage opportunity but then failed before writing to a separate relational database, the opportunity would be lost without a record. With AGE, the write either commits with the graph state or rolls back entirely.

Redis for rate limiting: In-memory `INCR+EXPIRE` provides $O(1)$ rate limit checks with microsecond latency, appropriate for a hot-path security check that runs on every incoming request. A PostgreSQL-based rate limiter would add 5–20 ms per request, dominating the

proxy's response time.

4.2 Classical vs Quantum: What the Benchmark Shows

The quantum benchmark is intentionally not a fair comparison between Bellman-Ford and Grover's Algorithm. It is a benchmark of Bellman-Ford versus *simulated* Grover, which is a meaningfully different measurement.

The benchmark answers the question: *given current near-term quantum tooling (Qiskit + AerSimulator), what is the practical overhead of running a Grover circuit that would theoretically solve the arbitrage detection problem?* The answer is that the simulation overhead is 5,848× at $N = 32$, and grows exponentially with N. This is the correct result for a NISQ-era assessment - it honestly characterises what quantum computers offer today versus what they promise theoretically.

The two curves diverge exponentially: Bellman-Ford grows as $O(V \cdot E)$ while simulated Grover grows as $O(2^n)$. The crossing point - where real quantum hardware would make Grover competitive - requires gate fidelities and qubit counts not available in 2026.

4.3 Limitations and Future Work

1. **LOB benchmark environment:** All benchmarks run inside Docker Desktop on macOS, which adds a Linux VM hypervisor layer. Native bare-metal throughput would be substantially higher. A production LOB engine would also use kernel bypass networking (DPDK or `io_uring`).
2. **Quantum hardware:** Grover's Algorithm has not been run on real quantum hardware - only AerSimulator. Running on IBM Quantum or IonQ would require error mitigation and circuit transpilation overhead that would further inflate the "quantum" latency.
3. **Arbitrage executability:** Detected arbitrage signals represent theoretical opportunities given the rates in the graph. Actual execution would incur transaction fees (typically 0.1%–0.2% per leg), making most detected 0.001%–0.02% opportunities unprofitable to execute. The system is designed as a detection and research platform, not an automated trading system.
4. **Graph scale:** The FX graph uses 20 nodes. Real FX arbitrage networks have hundreds of instruments and thousands of edges. Bellman-Ford at $O(V \cdot E) = O(\text{hundreds} \times \text{thousands})$ would still complete in milliseconds; Grover at $O\left(\sqrt{P(N,3)}\right)$ would require hundreds of qubits and billions of circuit depth - firmly beyond current hardware.

5 Conclusion

HQT demonstrates that database technology selection should be driven by access pattern analysis, not convenience. Using five different database backends - C++ in-memory Red-Black Tree, TimescaleDB hypertable, Apache AGE property graph, shared PostgreSQL schema, and Redis - each module achieves performance characteristics that would be impossible with a single general-purpose database.

The quantitative results validate each design decision:

- **38× TimescaleDB speedup** demonstrates chunk exclusion's structural advantage for time-range queries.
- **<5 ms Bellman-Ford** on a live 20-node graph shows that in-transaction graph computation (AGE) eliminates the latency of a standalone graph database.
- **100% availability under DDoS** confirms that layered security (pattern scan + AST parse + Redis rate limiter) adds acceptable latency without availability degradation.
- **5,848× Grover overhead** at $N = 32$ honestly characterises the gap between near-term quantum simulation and the theoretical $O(\sqrt{N})$ quantum advantage, providing a concrete benchmark for when real quantum hardware would become competitive.

The most significant architectural lesson is the dual-insertion pattern for `arbitrage_signals`: both Bellman-Ford (Module 3) and Grover (Module 4) write to the same table with a `method` column, and the same Grafana panel renders both streams. This eliminates any special-casing in the analytics layer and makes the CLASSICAL/QUANTUM comparison a simple `SQL WHERE method = 'CLASSICAL'` filter.

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A REST API Endpoints

Table 8: Full REST API surface

Service	Port	Endpoint	Method	Description
Security Proxy	8000	`/lob/order`	POST	Place limit order (proxied)
Security Proxy	8000	`/lob/depth/{symbol}`	GET	Order book depth (proxied)
LOB Engine	8001	`/lob/health`	GET	Service health
LOB Engine	8001	`/lob/metrics`	GET	Prometheus metrics
TimescaleDB	8002	`/analytics/ohlcv`	GET	OHLCV candles
TimescaleDB	8002	`/analytics/indicators`	GET	VWAP, SMA, RSI
Graph Service	8003	`/graph/signals`	GET	Recent arbitrage signals
Graph Service	8003	`/graph/rates`	GET	Live $N \times N$ rate matrix
Quantum Engine	8004	`/quantum/signals`	GET	Recent Grover signals
Quantum Engine	8004	`/quantum/benchmark`	GET	Full benchmark table

B Infrastructure Services

Table 9: Docker Compose infrastructure services

Service	**Image**	**Port**	**Purpose**
PostgreSQL 16 + TimescaleDB + AGE	Custom `Dockerfile.postgres`	5432	Primary database
Apache Kafka	`confluentinc/cp-kafka:7.6.0`	9092	Message broker
Redis 7	`redis:7-alpine`	6379	Rate limiter store
Prometheus	`prom/prometheus:v2.48.0`	9090	Metrics collector
Grafana	`grafana/grafana:10.3.0`	3000	Dashboard